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READING + INTERACTIVE ILLUSTRATIONS

Creating Customer Value

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Harvard Business School
.....

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This reading contains links to online interactive illustrations denoted by the icon above. To access these exercises, you will need a broadband internet connection. Verify that your browser meets the minimum technical requirements by visiting <http://hbsp.harvard.edu/list/tech-specs>.

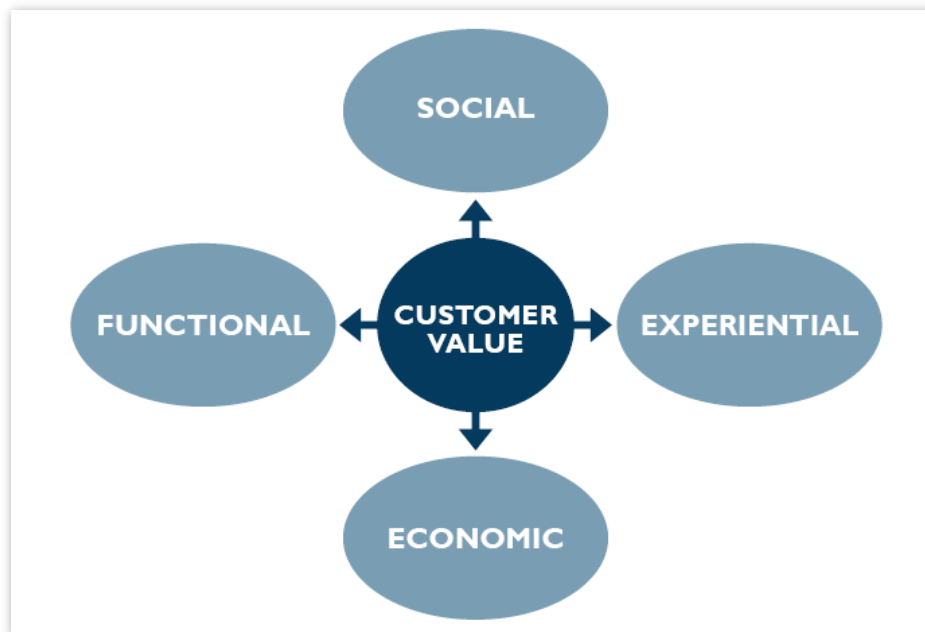
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1 INTRODUCTION

One of the fundamental tasks of a business is to understand the needs of its customers and create products and services that will satisfy those customers or even delight them. Sometimes this process is *market-driven*, whereby a firm uncovers the needs of its customers through market research (e.g., Nabisco introduced the 100-calorie snack based on customer input).^a Sometimes, however, this process is *market-driving*, whereby the company creates new products based on its own vision of the future (e.g., Apple's founder Steve Jobs was famous for creating products without conducting any formal market research). In both cases, managers need to understand what customers value that will encourage them to pay for an organization's products or services.

Value is generally defined as the difference between what a customer pays for a product or service and the bundle of benefits she receives. **Exhibit 1** depicts four ways in which customers derive value from a product or service: economic value, functional value, experiential value, and social value.

EXHIBIT 1 Four Types of Customer Value



^a Many firms use the term *consumers* for end users and *customers* for channel members such as retailers. In this reading, we use these two terms interchangeably.

Consumers get *economic value* when a product provides tangible monetary savings either at the time of purchase or over its long-term use. For example, an energy-efficient lightbulb or a fuel-efficient car reduces the consumer's cost of owning these products.

Sometimes, when comparing many products (for example, mobile phones or laptops), consumers consider not only the price but also different features, or the *functional value* of the products. Many consumers also buy products for their *experiential value*—intangible psychological and emotional value that can be derived from brands or great service. For example, Apple created an image for its brands that allowed it to charge a premium for its products. Amazon has established itself as a leading e-commerce player, not only by offering low prices but also by providing excellent customer service.

In many settings consumers derive *social value* from products. The value of Facebook comes from sharing information, pictures, and videos with friends. Many restaurants and cafés provide customers with good food and drink as well as a place to meet friends.

All successful products and services offer customers one or more of these values, which we will focus on in this reading. We begin the Essential Reading by exploring economic value in detail, followed by examinations of functional, experiential, and social value. The Supplemental Reading focuses specifically on services and the ways organizations can best manage the customer experience.

2 ESSENTIAL READING

2.1 Economic Value to the Customer (EVC)

When it comes to determining the true economic benefit of a product or a service, we need to look closely at the costs and savings involved. For example, a hybrid car saves customers money because it lowers their fuel bills, but the car itself generally costs several thousand dollars more to buy than an equivalent nonhybrid car. A light-emitting diode (LED) lightbulb is far more expensive to buy than an incandescent bulb, but it consumes less electricity and saves consumers money every day. A front-loading washing machine may be more expensive than a top-loading one, but it may have lower costs of setup, maintenance, and water consumption. Solar panels are expensive to install, but they lower energy bills significantly and pay for themselves in a few years.

The basic idea of economic value, then, is to consider the *total cost of ownership* or *life cycle cost*. This is the cost of owning a product over its entire useful life.

Consider the example of the lightbulb, which now comes in a few different types. Standard or incandescent lightbulbs have historically been the cheapest, but they are gradually being phased out in many countries due to global energy concerns. Compact fluorescent lights (CFLs) are miniature versions of full-sized fluorescents with spiral tubes. CFLs can be screwed into standard lamp sockets and give warm light that is similar to that of incandescent bulbs, rather than the fluorescent lighting that we associate with factories or garages. Halogen bulbs are more energy efficient than incandescent bulbs and have long been used for outdoor use, but they have just entered the market for use with standard lamp sockets. LED lightbulbs are far more energy efficient than incandescent bulbs, but they are significantly more expensive.

In 2013, a 60-watt incandescent lightbulb in the United States cost about \$1.25, while the cost of an LED bulb that emitted equivalent light was almost \$36.00. While we expect the cost of LED bulbs to go down over time (by 2019, an LED bulb cost about \$3.00), how did the industry encourage adoption of its expensive LED bulbs in 2013? Why would a consumer spend 28 times more to buy an LED bulb? **Exhibit 2** provides a comparison of the three bulbs to show that, even though the initial purchase price of an LED is much higher than that of an incandescent lightbulb, it saved significant money to consumers because of its energy efficiency. For example, while an LED bulb in a typical table lamp lasts for almost 50,000 hours of usage, a consumer using incandescent lightbulbs would need to install 42 lightbulbs, one after another, to keep the lamp turned on for the same number of hours. In the end, the total cost of lighting for 50,000 hours would be \$85.75 for one LED bulb and \$352.50 for 42 incandescent light bulbs. In other words, even though the initial purchase price of an LED bulb is almost 28 times that of an incandescent lightbulb, an LED bulb is likely to save consumers a significant amount of money in the long term.

EXHIBIT 2 Comparing Total Cost of Ownership of Lightbulbs in the United States (2013)

	LED	CFL	Incandescent
Lightbulb projected life span	50,000 hours	10,000 hours	1,200 hours
Watts per lightbulb (equiv. 60 watts)	10	14	60
Cost per lightbulb	\$35.95	\$3.95	\$1.25
kWh of electricity used over 50,000 hours	500	700	3,000
Cost of electricity (\$0.10 per kWh)	\$50.00	\$70.00	\$300.00
Bulbs needed for 50,000 hours of use	1	5	42
Cost of bulbs for 50,000 hours of use	\$35.95	\$19.75	\$52.50
Total cost for 50,000 hours	\$85.75	\$89.75	\$352.50

Source: Adapted from http://eartheasy.com/live_led_bulbs_comparison.html, accessed August 21, 2013.

The concept of life cycle cost is even more powerful in industrial settings. Consider the case of SKF, a leading global producer of premium bearings. Bearings are used in many industries, and their primary function is to reduce friction between the moving parts of machines, engines, motors, and so on. Since its inception, SKF had focused on developing technically superior bearings that are durable and reliable. SKF had been selling these bearings at a 10% to 50% price premium above competitive products. However, it faced significant competitive pressure as low-end manufacturers provided cheaper bearings and customers increasingly saw bearings as commodity products.

In response to these competitive pressures, SKF developed a Documented Solutions Program (DSP)^b that showed how customers achieved measurable savings, detailing examples of how its bearings, parts, and products saved customers thousands of dollars from reduced downtime and lowered repair costs—along with the monetary value of increased uptime, machine speed, and labor efficiency. This program was quite successful in convincing customers that lowest price does not mean lowest cost over the life cycle of the product.

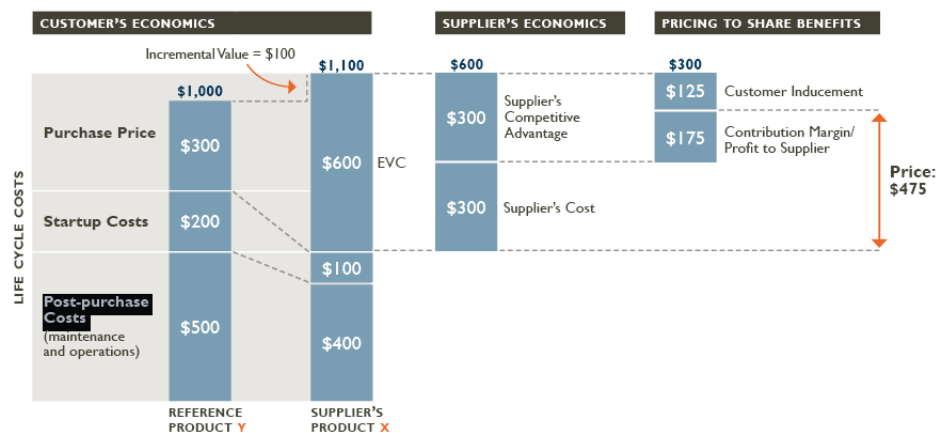
In theory, a customer should be willing to pay a price for the new product that is equal to the savings from using or operating the new product, plus the purchase price of the competing product. This *maximum price* that a customer is

^b SKF, “Lowest price ≠ Lowest cost: Buying on Total Benefit of Ownership boosts profitability by bringing sustainable savings to the bottom line,” 2014, https://static1.squarespace.com/static/5385613ee4b0883f7108f96f/t/5823dad8f7e0ab31fc19fcd2/1478744795651/SKF+TCO+TBO+paper_single+pages.pdf, accessed December 10, 2019.

willing to pay for a product is its *economic value to the customer (EVC)*.

Exhibit 3 generalizes this concept of EVC. It shows a business-to-business (B2B) example in which a customer compares the total cost of ownership for a new machine with that of an existing machine. The current or reference Product Y has a purchase price of \$300, a startup cost of setting up the machine of \$200, and a maintenance and operations cost of \$500. In contrast, the new machine (Product X) reduces the setup cost to \$100, reduces the maintenance and operations cost to \$400, and also improves the customer's productivity by \$100.

EXHIBIT 3 Economic Value to the Customer



Source: Adapted and reprinted from Business Horizons 24, no. 3, John L. Forbis and Nitin T. Mehta, "Value-Based Strategies for Industrial Products," Pages 32–42, Copyright © 1981, with permission from Elsevier.

As Exhibit 3 shows, the new Product X provides economic value or an EVC of \$600 to a customer. In other words, a customer should be willing to pay a maximum of \$600 for this machine instead of keeping her existing machine. Clearly, the firm needs to give some incentive to the customer to switch products. In this example, it costs the firm \$300 to produce this new machine; the remaining \$300 of the \$600 of EVC is the supplier's competitive advantage. The firm decides to keep \$175 of this surplus as its profit margin and share the remaining \$125 with the customer by charging her \$475 as the purchase price. Note that, even though the new machine is more expensive (\$475) than the current machine (\$300), the customer has an incentive to switch due to an economic savings of \$125.

Three points should be noted here:

- 1 EVC is the maximum price that a customer should be willing to pay for a product. In practice, a firm generally charges less than this to provide some incentive to the customer to switch.

- 2 EVC is calculated as the total life cycle cost or cost of ownership over the entire life of a product. In other words, it includes not only the *purchase price* but also the *after-purchase costs* as well. The life span of two products may be different, so it is critical to compare them on the same time frame.
- 3 EVC for a product is estimated compared with an existing product used by the customer. In other words, EVC is relative, not absolute. Two different customers who use different products or have different usage patterns may derive different EVC from the same new product.

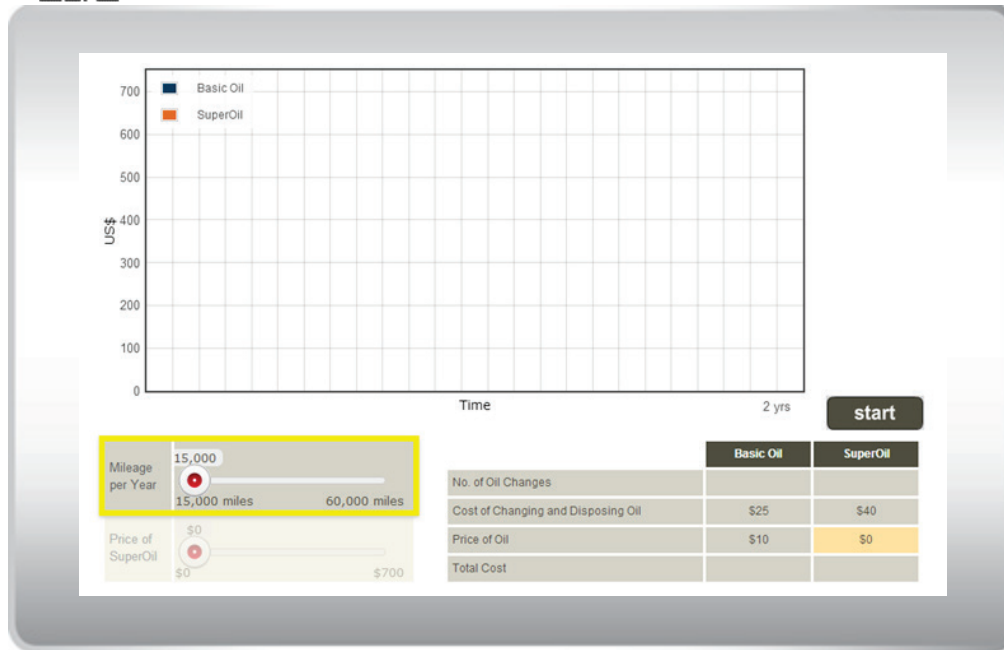
Consider as an example a hypothetical company, Texas Oil, Inc., to answer the questions that apply in **Interactive Illustration 1** to determine the EVC of a new product. The company is planning to introduce a new synthetic motor oil, SuperOil, that needs to be changed less frequently than the nonsynthetic motor oils currently available in the market. Conventional motor oils need to be changed every 6,000 miles at a cost of \$35 per change, which includes \$10 for the cost of the oil (or \$2 per quart), \$20 labor cost, and \$5 for the cost of disposing of all five quarts of the old oil. SuperOil requires the same amount of oil, but it needs changing once every two years, regardless of the mileage. SuperOil also requires special skills for the mechanics to change it, so the labor cost increases to \$30. The disposal costs for SuperOil are double those of a regular oil.



INTERACTIVE ILLUSTRATION 1 Economic Value to the Customer



Scan this QR code, click the image, or use this link to access the interactive illustration:
bit.ly/hbsp2GfzKMq



Note: If the Interactive Illustration is not accessible, please see the PDF explanation of the Interactive [here](#).

Click on Interactive Illustration 1 to determine SuperOil's EVC. Begin by setting annual mileage driven (your choice) on the lower left part of the screen. Click "start" to run a short simulation that tracks the cost of oil changes over two years. Then slide the price of SuperOil (also on the lower left) up, to find the price point at which the customer would be indifferent toward both products.

What is the EVC of SuperOil to a car owner who drives (a) 15,000 miles per year, (b) 45,000 miles per year, or (c) 60,000 miles per year? What implications does the EVC have for the pricing and targeting of SuperOil to car owners?

2.1.1 Marketing Implications

The SuperOil example illustrates the clear implications of EVC analysis for a firm's pricing and customer segmentation. EVC is the total economic benefit to a consumer; hence, this is the maximum price that a firm can charge for its products. (For more on pricing, see *Core Reading: Pricing Strategy* [HBP No. 8203].) Interactive Illustration 1 also shows that frequent drivers get more value from using SuperOil, so these drivers may be better targets for Texas Oil, Inc. Infrequent drivers are unlikely to see any value in SuperOil. Therefore, EVC is a powerful basis for segmenting and targeting customers. Finally, EVC is useful for introducing new products and determining their positioning against existing products.

Even with these significant economic benefits, why might consumers who drive 15,000 miles per year or more might hesitate to buy SuperOil?

Our EVC estimates are based on several underlying assumptions about which consumers may be skeptical. For example, consumers may not believe that SuperOil can last two years, regardless of the number of miles driven. Even if it does last, consumers may worry that this will damage their car engines in the long run. Consumers may also question the availability of SuperOil and the ability of expert mechanics to change this oil. In other words, an economic benefit is not always enough to convince customers to buy a new product. However, EVC ignores other functional or intangible benefits that the product may provide. For example, SuperOil may be more environmentally friendly because it doesn't need to be disposed of so frequently.

2.2 Functional Value

Another way that companies emphasize the value of a product or service to customers is by offering new features, or functional benefits. For example, a customer looking for a cell phone will likely compare the various features or functional benefits of several brands. An iPhone has the Apple mystique and works with all Apple applications such as FaceTime and Apple Music. A Samsung Galaxy S10, however, has innovations such as Wireless PowerShare, a triple-lens camera, and an Android operating system. Such comparisons often involve difficult trade-offs for consumers because they cannot be easily translated in terms of economic benefits or price tag. Consider **Exhibit 4**, which depicts a comparison of four laptops.

EXHIBIT 4 Comparison of Four Laptops

Brand	Hewlett-Packard (HP)	Lenovo	Dell	Microsoft
Model name	Envy 13	ThinkPad X1 Carbon Gen 7	Precision 7730	Surface Book 2
Retail price	\$1,199	\$1,504	\$1,659	\$2,499
Processor name	Intel Core i7-8565U	Intel Core i5-8265U	Intel Core i7-8850H	Intel Core i7-8650U

Processor speed	1.8 GHz	1.6 GHz	2.9 GHz	1.9 GHz
Random access memory (RAM)	16 GB	8 GB	16 GB	16 GB
Weight	2.82 lbs	2.49 lbs	7.49 lbs	4.2 lbs
Display and resolution	13.3" (3840 × 2160)	14" (1920 × 1080)	17.3" (3840 × 2160)	13.5" (3240 × 2160)
Graphics card	Nvidia GeForce MX250	Intel UHD Graphics 620	Intel HD GFX	Intel HD Graphics 4400
Storage capacity	512 GB	256 GB	500 GB	1 TB
Reported battery life	11:34	14:29	3:50	16:28

Source: Data compiled from <https://www.pcmag.com/roundup/359840/the-best-laptops-for-video-editing>, <https://www.pcmag.com/roundup/367714/tested-the-lightest-laptops>, and company sites, September 18, 2019.

A multi-attribute model offers a simple framework to capture how consumers evaluate products with different features. Market research companies use this approach to understand consumers' preferences for various attributes and brands. To illustrate how this approach works, consider an example of a consumer named Anton who is planning to buy a laptop for his personal use. After careful consideration, Anton narrows down his choices to models of four different brands—Hewlett-Packard (HP), Lenovo, Dell, and Microsoft. Based on his personal needs, Anton identified four key features or attributes that he is looking for in his laptop: hard disk storage space (total storage capacity), random access memory (RAM, memory and overall speed), weight (light weight), and price (low price). He estimated the relative importance of each feature to him. For example, Anton assigned 40% importance to hard disk storage space because he stores a lot of videos for his work, and only 10% importance to the weight of the laptop because he travels infrequently. After extensive searches on the websites of these four brands, on professional websites such as PCMag and CNET, and on consumer blogs and reviews, Anton rated the four laptop brands on his four attributes on a scale of 1 to 10, where 1 is the least desirable and 10 is the most.

Exhibit 5 summarizes this information. The last column in this exhibit, Preference, is the weighted sum of attribute ratings and summarizes the overall

value that Anton assigns to a particular brand of laptop. The general equation for n attributes is:

$$\text{Preference for brand } j = \sum_{i=1}^n (\text{importance of attribute } i) \cdot (\text{rating of brand } j \text{ on attribute } i)$$

EXHIBIT 5 Multi-Attribute Model for Anton's Laptop Preferences

		IMPORTANCE OF ATTRIBUTE				
		40%	30%	10%	20%	
BRAND		Hard Disk	RAM	Weight	Price	Preference
	HP	10	8	4	8	8.4
	Lenovo	10	10	4	6	8.6
	Dell	4	6	8	4	5.0
	Sony	4	6	10	5	5.4

Note: Ratings are on a scale of 1 to 10, where 1 is the lowest and 10 is the highest. The lighter-weight model scores higher; the lower price scores higher.

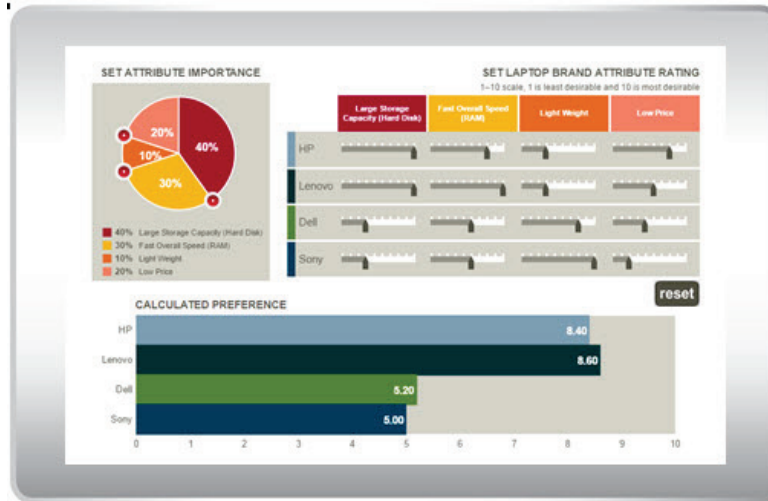
The interactive form of Exhibit 5 can be found in **Interactive Illustration 2**, in which a clear choice emerges for Anton. Use Interactive Illustration 2 to see how Anton's choice would change if he had different laptop requirements. For example, what would be his choice if price were assigned an importance of 50% and the other 50% was evenly divided among the other attributes? What would Anton prefer if he required a lightweight model above all other attributes? Now change the ratings within each brand by dragging the small gray indicators across their scales. What would be his choice of laptop?



INTERACTIVE ILLUSTRATION 2 Multi-Attribute Model for Laptop Preference



Scan this QR code, click the image, or use this link to access the interactive illustration:
<http://bit.ly/hbsp2DXZz0Q>



Note: If the Interactive Illustration is not accessible, please see the PDF explanation of the Interactive [here](#).

2.2.1 Marketing Implications

After accounting for all the differences in the features of various brands, the HP model emerges as Anton's most preferred and the Lenovo laptop as his least preferred model. What can an organization do to improve its value offering to consumers? In the example of the sample consumer Anton, what could Lenovo do to improve its preference and likelihood of purchase? The company has several options it could consider.

First, Lenovo would have to assess why its laptop rates so low, comparatively, on hard disk storage and RAM. The lower scores of this particular laptop are attributable to its having significantly less RAM and hard disk space than the other models. The issue is a technical problem that may require redesign of the product to improve it. In this case, the goal for Lenovo would be to improve its ratings on the two most important attributes for Anton.

Alternatively, Lenovo could launch a campaign that included comparative advertising to bring down ratings of competitive brands. Such negative advertising is a common practice in business (as well as in politics). Another option for Lenovo is to try to change consumers' minds about the importance of various attributes. In this case, the Lenovo laptop is superior on weight, but Anton considers this attribute as being least important. Using marketing campaigns, Lenovo could attempt to make this favorable attribute more important to Anton. Alternatively, Lenovo could find and target a different segment of consumers who view the weight as more important (e.g., consumers who travel a lot).

Finally, Lenovo could bring to customers' attention an entirely new attribute that may not be top of mind—great customer service, improved display quality, or security features such as a camera shutter or a privacy filter built into the laptop display. See the sidebar “Developing a Coffee Percolator” for an example of how this kind of strategy was used, in this case, to create a new kind of coffeemaker.

Developing a Coffee Percolator

In the 1980s, a Japanese home appliance company was trying to develop a new coffee percolator in a highly competitive market. The company started looking at the features offered by its competitors and considered designs like a General Electric model or a drip-type machine like Philips. It also debated if its percolator should be large or small. After much debate, the company asked itself a fundamental question: Why do people drink coffee? The answer was clear—good taste. Further discussion revealed that good taste required good water quality, appropriate coffee-grounds distribution, and a limited time between grinding and brewing. That prompted the company to create a very different percolator—one with a built-in dechlorinator and a built-in grinder. In other words, rather than competing on existing features, the company introduced new features that neither the customers nor the competitors had considered.

Source: Adapted from “Getting Back to Strategy” by Kenichi Ohmae, *Harvard Business Review* 66 (November–December 1988). Copyright © 1988 by the Harvard Business Publishing Corporation; all rights reserved.

2.2.2 Limitations

While simple and useful, the multi-attribute model has some limitations of which managers should be aware. The first limitation is that this model is *compensatory*; that is, a high rating on an attribute can compensate for a low rating on another attribute. In many situations, consumers use a noncompensatory approach, where they would not consider a brand unless it meets a minimum threshold. For example, when buying a car, some consumers might not consider a car that costs more than \$50,000, no matter how well it rates on other attributes. Several other models are available to account for this choice behavior of consumers. For example, a *conjunctive model* may be appropriate if a consumer would not choose a product unless it meets a minimum threshold level on all attributes.

The second limitation is that, while it is easy for researchers to conduct such studies, they are typically hard for consumers to answer. Consumers implicitly make such trade-offs, but they often find it difficult to articulate them in the form of a multi-attribute matrix. To circumvent this problem, new methods such as *conjoint analysis* have been developed. This approach provides consumers with a description (or product profiles) of two laptops with different attributes and asks the consumers to choose one of them. The process is repeated with carefully designed product profiles, and a statistical analysis is used to infer the relative importance of attributes.¹

When assessing the functional value of a product, it is critical to recognize the difference between features and benefits. Features are what a product offers; benefits are what a customer gets from those features. Harvard Business School professor Theodore Levitt famously quoted businessperson Leo McGinnea, who said that customers don't buy a quarter-inch drill bit; they buy a quarter-inch hole.² The implications of this distinction are significant. If tomorrow's new laser technology allows a customer to create a quarter-inch hole in a cheaper and more convenient way, then the laser technology becomes a competitor to drill manufacturers.

Note, too, that when companies focus too much on features without regard to their benefits to customers, they can create a features war. The razor blade industry offers a good illustration. For a long time, men used a single-blade razor to shave—until 1971, when Gillette introduced the TRAC II with two blades. Two decades later, Gillette improved its product even more and offered MACH3, a razor that sported three blades for an even closer shave. Schick, a competitor of Gillette, did not want to be left behind and soon it topped MACH3 with a four-blade option called Quattro. Not to be outdone by Schick, Gillette went back to its research and development (R&D) and, after millions of dollars of research, came back with a five-blade wonder called Fusion. While five blades may provide a finer shave than three or four blades can, this war of features is not the best way for companies to compete and try to provide superior value to customers. Direct-to-consumer startups like Dollar Shave Club and Harry's became successful with younger consumers who did not see the value in Gillette's expensive blades. In 2016, Unilever bought Dollar Shave Club for \$1 billion; in 2019, Schick announced that it will buy Harry's for \$1.37 billion. (For more on this topic, see the sidebar "Feature Fatigue.")

So far in this reading, we've reviewed economic value and functional value, both of which can be tangible and concrete. They typically have attributes that consumers can observe or that companies can prove with evidence or tests of their claims. These two types of customer benefits are also often easy for competitors to imitate over time. Apple had the lead in mobile phones for several years because of its unique design and features, but slowly Samsung and

others have caught up and even improved many of the features that the iPhone offers.

Feature Fatigue

It is tempting for companies to pack products with more and more features to gain competitive advantage. The BMW 745's dashboard alone has more than 700 features. LG Electronics sells a refrigerator with a built-in touchscreen in the door. From your refrigerator, you can now stream TV shows, see who is at the door, request an Uber ride, and order takeout. Is this "feature creep" or "feature bloat" really good for consumers?

A recent study found that, as more features are added to a product, its perceived capability to consumers increases, but its perceived usability decreases. Before they use a product (as is often done in a typical market research study), consumers say that capability matters more, but usability becomes far more important after they get a chance to use the product in real-life circumstances.

Companies such as Apple and Philips explicitly focus on simplicity in their product design to avoid this feature fatigue. Mercedes-Benz decided to remove more than 600 electronic functions from its cars after carefully considering capability and usability aspects.

Source: Adapted from "Defeating Feature Fatigue" by Roland T. Rust, Debora Viana Thompson, and Rebecca W. Hamilton, *Harvard Business Review* 84 (February 2006). Copyright © 2006 by the Harvard Business School Publishing Corporation; all rights reserved.

Next we will look at the experiential value that customers derive from a company's offerings, which is an intangible benefit and therefore harder to establish. But it is also harder for competitors to imitate.

2.3 Experiential Value

Organizations can create experiential value (which includes psychological benefits) for customers in at least four ways: through the branding, design, customer experience and customer service, and/or emotional benefits they offer in their products or services. In this section we will look at each of these methods of creating experiential value.

2.3.1 Branding

Brands signal quality, status, and image and therefore represent immense psychological value to consumers. Brands also allow firms to charge premium prices. While these premium brands often have superior quality, their price tag is usually far higher than can be justified by the increased cost of superior quality alone.

For example, Lexus vehicles use the same chassis and many of the same components as those used for Toyota Camry cars, but Lexus is perceived to be a luxury brand, with a far superior image compared to Camry, and thus commands a premium price. In blind taste tests, most consumers cannot tell the difference among different brands of bottled water or among different brands of vodka, yet they show strong preference for certain brands. The failure of New Coke in 1985 in favor of Coke Classic illustrates the power and value of brands over taste and other functional features. For a more detailed discussion of branding, see *Core Reading: Brands and Brand Equity* (HBP No. 8140).

2.3.2 Design

Too often managers either ignore or underestimate the power of design for their products and stores. The Ford Model T was manufactured in only one color: black. As the competition in the automobile industry intensified, auto manufacturers realized the importance of color and design as determinants of consumer choice. Decades later, computer manufacturers somehow forgot the lesson that the car companies had learned, and they offered computers and laptops in a single color: black. Then came Apple's founder and CEO Steve Jobs, who recognized the importance of design and color, and instilled that sensibility into "everything Apple"—from product design and packaging to advertising and the unique design of Apple stores (**Exhibit 6**). Suddenly Apple products, from computers to earbuds, came in a distinctive white and later in a rainbow of colors.

EXHIBIT 6 Unique Design of Apple's Original "Cube" on New York City's Fifth Avenue



Source: © Jon Hicks/Corbis.

Unique designs are not limited to retailers, of course. Look at **Exhibit 7** and guess what type of business might have this layout for the lobby of its offices. Although it could easily be the entryway to a modern art museum or a high-tech company, the lobby in Exhibit 7 can actually be found in the world-famous Mayo Clinic hospital. Even hospitals are recognizing that it is not simply the competence of their physicians that is important for patients' health; the ambience and service of the hospital can also have a major impact on patients' psychological well-being.

EXHIBIT 7 Elegant Interior Design for the Lobby of an Office Building



Source: Photo courtesy of Gordon Smith.

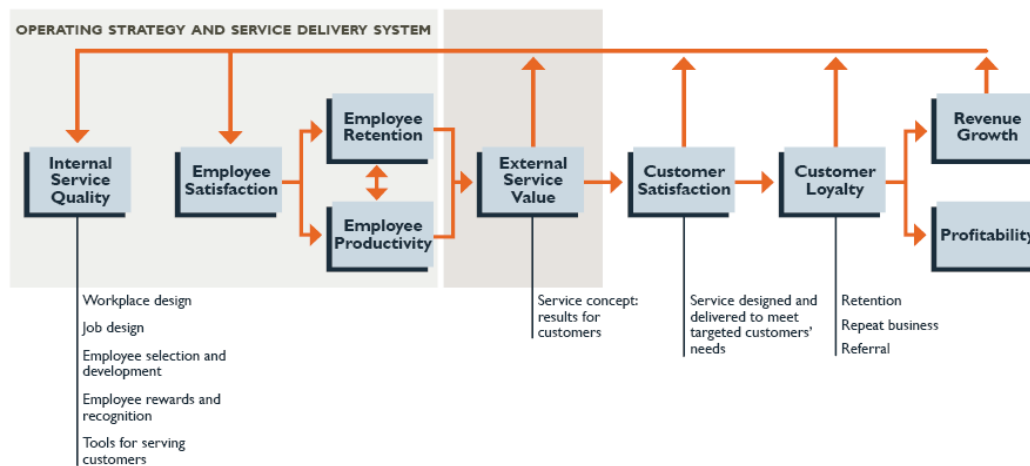
2.3.3 Customer Experience and Customer Service

Customer experience and customer service can be sources of significant competitive advantage to organizations. Many of the world's leading brands, such as Apple, Starbucks, Singapore Airlines, and Ritz-Carlton, have put customer experience and customer service at the core of their marketing and business strategies.

Yet not every company is hitting the mark. In a survey of 362 organizations, the consulting firm Bain & Company found that 80% of organizational leaders

believed their companies were providing superior customer service. When customers of these firms were asked about their perceptions, however, they indicated that only 8% of the firms were actually delivering superior service.³ In other words, while most companies believe in the importance of delivering excellent customer service, very few are able to deliver it.

How can organizations hope to close that gap between their perception of good service and customers' actual experience of satisfaction? The answer may lie with *employee satisfaction*. An influential Harvard study introduced the concept of the *service-profit chain*, which demonstrated the link among employee satisfaction, customer satisfaction, customer loyalty, and customer profitability (**Exhibit 8**). The basic tenet of this model is that employee satisfaction is a necessary condition for delivering superior customer service. Employee satisfaction, in turn, results from high-quality support services and policies that enable employees to deliver value to customers. Thus, organizations that wish to improve customer service and experience should consider attending to the needs of their front-line employees, along with their product offering and how they manage customers.⁴

EXHIBIT 8 The Service-Profit Chain

Source: Adapted and reprinted from "Putting the Service-Profit Chain to Work," by James L. Heskett, Thomas O. Jones, Gary W. Loveman, W. Earl Sasser, Jr., and Leonard A. Schlesinger, *Harvard Business Review* 86 (July–August 2008). Copyright © 2008 by the Harvard Business School Publishing Corporation; all rights reserved.

Front-Line Employees

Front-line employees, who often receive the least compensation and the least amount of training in organizations, are the people most responsible for delivering superior customer experience. The lack of training and incentives results in an annual turnover rate of over 100% among these employees in many industries, such as retailing and hospitality. Often the problem starts in the way these employees are hired. While most companies hire front-line employees based on their skills and aptitude, some business scholars argue that front-line employees should be hired for attitude instead of aptitude. In other words, their people skills are far more critical than their technical knowledge of the product. Herb Kelleher, the legendary co-founder and former CEO of Southwest Airlines, believed that finding employees who have the right attitude is so important that Southwest's hiring process takes on a "patina of spirituality." In addition, he believed that "anyone who looks at things solely in terms of factors that can easily be quantified is missing the heart of business, which is people."⁵ But aside from hiring practices, the key to retention in the front line may also lie in the level of respect, training, and benefits employees are given. Starbucks, for example, confers on its employees a special title—partners—and even its part-time employees are offered health insurance and stock options.

In 2008, terrorists attacked Taj Hotel in Mumbai, India. Although hotel employees had the opportunity to run away to save their lives, every one of

them chose to stay back in the hotel to help guests while the attackers roamed the hotel corridors. In the end, several employees were killed. How did Taj management instill such a level of loyalty among its employees that they were willing to take a bullet for their customers? The Tata Group, which owns Taj, is known for creating an intensely customer-centric culture and for treating its employees as part of the family from the time they are hired. Trainees are offered food and housing, and recruits receive prestigious training, all engendering company loyalty as a result.⁶ When asked about their extraordinary response to the attacks that day and their feelings about the Tata family, employees were reported to have remarked, “Others have God, we have the Tatas.”⁷

Product Offering

When facing increased competition, firms often respond by adding more and more features to their products and introducing a large number of items to fill their product line. For example, banks offer many complex products—some even beyond the full understanding of senior management, let alone front-line employees. It is hard to imagine that a front-line employee, who typically receives a lower wage and may have been hired for attitude instead of aptitude, would be prepared to deliver expert knowledge about a large array of complex products while providing friendly service. That is why some organizations, such as Commerce Bank (which later became part of TD Bank), have chosen to offer fewer product lines in order to focus front-line training on delivering excellent customer service.

Customer Management

The experiential value that a customer perceives in a product or service is often closely tied to the way the organization manages its customers. Technology allows organizations to reduce costs by offloading more and more tasks to customers—banks encourage customers to do online banking instead of coming to a branch, airlines ask travelers to print their boarding passes at home, and retailers have self-checkout lines at stores. But it is important that these tasks are made simple to ensure a positive customer experience. When you go to an airline counter to ask for a particular seat from an agent, it takes the agent several minutes and dozens of clicks to assign you a seat. If the same system were put in place for a self-service checkin at the airline kiosk, it would fail because most customers have neither the patience nor the expertise of an employee to do the same. Thus, airlines simplified the system so that customers see a map of the airline’s seating with available seats, and a simple touch of a screen accomplishes what an agent does in several minutes. (Further details about customer service can be found in the Supplemental Reading.)

2.3.4 Emotional Benefits

A crucial aspect of experiential value is the emotional benefit that customers perceive in the products and services they use. Therefore, the role of marketing and advertising is not only to convey information about a product's or a service's features but also to build an emotional bond with customers to create long-term loyalty. Value created through emotions is difficult for competitors to imitate and provides a competitive advantage to firms in the long run.

For example, in 2012, Procter & Gamble (P&G) created an advertising campaign called "Thank You, Mom" to honor the mothers of Olympic athletes who were participating in the London Summer Olympics.⁸ This campaign recognized moms (P&G's target audience for detergent and other products) who had toiled for years to encourage and support their children in pursuit of their athletic achievements. (View "Best Job," one of the ads in the "Thank You, Mom" Olympics campaign, at <https://adage.com/creativity/work/best-job-best-2012-tv-2/27248>.)

Recognizing that many athletes come from humble family backgrounds where parents do not have the financial resources to see their sons and daughters compete in the Olympics, P&G funded parents' travel and related expenses. It also created special pavilions with lounges stocked with free P&G products (the theory being that moms would want to look good for the cameras in case they were interviewed after their sons or daughters won Olympic medals), a Pampers village for younger siblings, and a family room for entertainment.

This campaign was supported with social media and created an enormous amount of exposure for P&G, resulting in billions of media impressions, significant pride among employees, and a large increase in P&G's favorability scores. The company also reported substantial incremental sales due to this effort. The goal of this endeavor was not to promote the economic or functional benefits of P&G's products but to build an emotional bond by showing that P&G cares for its customers.

Few business scholars would argue against the idea that superior customer service is critical for customer satisfaction and customer retention; several studies have shown the link between customer retention and both customer profitability and firm value.⁹ That link is perhaps even more critical today, given the increasing power of social media and word of mouth in consumer decision making. Therefore, organizations want to improve the experiential value of their offerings by ensuring that customers are highly satisfied and become advocates of their brands.

2.4 Social Value

So far we have focused on how a firm can provide value to an individual customer. But because we live in a networked society, many of the benefits we derive are based on our social interactions with family and friends. How can organizations enhance the value of their products and services to customers in a socially connected world? In this section we will look at the roles played by network effects, preference formation, social capital, and social relationships when it comes to the level of social value that a product or service delivers.

2.4.1 Network Effects

The value of a social network such as Facebook, a video phone feature such as FaceTime on an iPhone, or a text messaging app such as WhatsApp is limited if you are the only one who has that service or app. The more people use these services, the greater the value to you, the customer. In other words, many products and services have strong *network effects*, where the value of a product or service for a customer increases significantly as more and more customers adopt it. For example, sites such as YouTube become destination sites as more and more people visit them, encouraging other consumers to upload their videos, which in turn provides even more positive feedback to viewers who visit YouTube. This virtuous cycle provides an ***increasing return to scale*** to these companies so that they effectively become dominant players. In such cases, *rapid scale* (e.g., offering free product) and *shareable features* (e.g., sharing files in Dropbox or photos on Instagram to encourage virality) are critical for success.

2.4.2 Preference Formation

In our discussion of functional value, we assumed that consumers have strong preferences for attributes that allow them to evaluate products to match their needs. However, research shows that, in many cases, consumers' preferences are constructed and heavily influenced by their peers.

One study illustrates how social influence affects a user's preference for music.¹⁰ In this study, more than 14,000 participants were presented with 48 songs by unknown bands. Participants could listen to as many songs as they wanted and were allowed to download the ones they liked. They were randomly assigned to one of two experimental conditions: independent, where they saw only the names of the bands and songs, and social, where they also saw how many times a particular song was downloaded by previous participants. The number of previous downloads was experimentally manipulated so that different songs were shown to be more popular in different tests. The study

found that “popular” songs (as manipulated by the researchers) became even more popular, regardless of which song was artificially made popular.

Another study further documented this type of herding behavior on a social news aggregation website, where users contribute news articles and other users vote on these contributions using a thumbs-up or thumbs-down icon.¹¹ The collective voting behavior of users determines the relative ranking of articles on the site. In this study, the researchers randomly assigned more than 100,000 submitted comments to three conditions: up, down, or the control group. The up-treatment comments were artificially given an up-vote (a +1 rating), the down-treatment comments were artificially given a down-vote (a –1 rating), and the control comments were left as they were. The study found that prior ratings created a significant bias in users’ ratings behavior. Specifically, negative social influence inspired users to “correct” manipulated ratings; however, positive social influence increased final ratings by 25% on average. Recognizing that consumers often have weak preferences when it comes to some products, companies such as Netflix and Amazon have designed recommendation systems to help consumers choose movies and books.

2.4.3 Social Capital

Many online sites such as Yelp or TripAdvisor rely on user-generated content. Instagram and Facebook would not exist if users did not post pictures or comments in their newsfeeds. Starbucks and Dell encourage consumers to create content and suggest ideas on their websites. Why do consumers spend time generating content for these companies? What value do consumers derive from doing so?

There are at least three reasons that consumers create content of this type. First, when users benefit from the content of a site (e.g., by reading a restaurant review on Yelp), they want to reciprocate over time by making a similar contribution. Second, by offering suggestions for improvement or new ideas, users feel empowered and important to a company’s operations. Third, many consumers build social capital through these activities. Yelp and TripAdvisor offer badges to their elite reviewers. Yelp even hosts special parties for its Elite Squad. And Facebook and Twitter users, of course, are often judged by others based on how many friends or followers they have—a social pressure that ultimately benefits these companies by bringing even more traffic to the sites.

Social capital not only allows consumers boasting rights but can also be highly lucrative. Sites such as Instagram and YouTube have created social media celebrities that can earn millions of dollars for their videos or posts, or through advertising. According to one study, individuals with more than 7 million followers can earn \$300,000 per post on YouTube, \$187,500 on Facebook, and

\$150,000 on Snapchat.¹² In 2018, American media personality and social media influencer Kylie Jenner commanded a whopping \$1 million per post on Instagram.¹³ Understanding consumer motivation can help companies design better programs to encourage user-generated content and improve the value of their sites to other consumers as well.

2.4.4 Social Relationships

In 2014, Deepak Garg, an entrepreneur in India, set out to solve a logistics problem in the country. With the rise of e-commerce, demand for logistics services was growing, and yet there was an intense shortage of truck drivers in India. Economic theory would suggest that if demand surpasses supply, wages would rise to create an equilibrium. But somehow this did not happen in India. This puzzled Garg, and he decided to investigate it further by visiting small towns and villages to talk to truck drivers. During his conversations, he learned that truck drivers in India were considered the 37th caste—the lowest standing in the Indian caste social hierarchy. But why would a high-earning truck driver be considered the lowest caste, especially with the country's high unemployment? After digging further, Garg found the answer. On average, a typical long-haul truck driver spends 25 days a month on the job, away from home and family, often sleeping in the truck. Loneliness, along with alcohol and substance abuse, are common, and a large proportion of truck drivers were affected by HIV. With this reputation for the profession, no father in a village, for instance, would want his daughter to marry a truck driver or encourage his son to take the job. Listening to these stories, Garg understood that the shortage of truck drivers was a social, not an economic, problem.

After some reflection, Garg realized that sending truck drivers home every night could dramatically change their lifestyle and, in turn, their social status. To achieve this, he came up with the idea of a relay trucking system. In this system, a driver would drive a truck for about four hours to take it from point A to B, then pick up another truck from B to bring it home to point A at the end of the day. Another driver would pick up the truck from B to drive it to C, and so on. Drivers could eat dinner with their families each night. To create this system, Garg built a network of trucks and drivers, carefully optimized truck stop locations, and developed an algorithm that could match drivers and trucks without stranding trucks at any location. This was the beginning of his startup Rivigo. By July 2019, Rivigo had raised more than \$280 million in funding and was valued at over \$1 billion. Garg started by understanding customer pain points—and by solving a social problem. He ultimately found that truck drivers were willing to take a cut in their income to join his company, confirming that the problem was social, not economic.

Too often, companies offer products and services with an intent to serve functional needs of consumers while ignoring the social interactions that drive most of their behavior. Similarly, as retailers and shopping malls struggle to compete with e-commerce sites, their value proposition needs to change. Many shopping malls are already shifting from serving as a location for transactions, with large department stores as their main anchor points, and moving to focus on entertainment and food establishments that foster social activities and interactions.

2.5 Conclusion

The goal of any business is to delight customers by understanding their needs and providing products and services to meet those needs. Therefore, it is critical that organizations find ways to gain an understanding of what customers value and how the organization can design products and services to create value for customers.

In this reading, we discussed four ways that customers derive value from a product or service. If customers save money by using a new product instead of another comparable product, then this new product provides them with *economic value*. Organizations can use this concept for pricing products, designing segmentation strategies, and creating advertising copy.

In many cases, it is hard to show tangible savings from using a product, but the organization can highlight the *functional value* of its products by highlighting their distinct features. By understanding what features customers value, companies can improve their product design and target customers who value these functional benefits.

Experiential benefits are the third way that customers can derive value from a product. Branding, unique product design, superior customer service, and/or emotional bonds that a company may build with customers are some of the ways to create *experiential value*. To provide superior customer service, companies need to improve the satisfaction of the front-line employees, simplify their product lines, and manage customers effectively.

Because customers use products in a social context, they also derive *social value* from many products. Enhancing their social relationships and building social capital by being recognized as an elite user on a restaurant review website or a social celebrity on Instagram are examples of this type of value.

To maintain a competitive advantage, organizations need to understand the underlying types of value that customers derive from their products and

services. Because this value changes over time as customer needs change and the competitive environment shifts, organizations must constantly monitor and modify the value they provide to their customers.

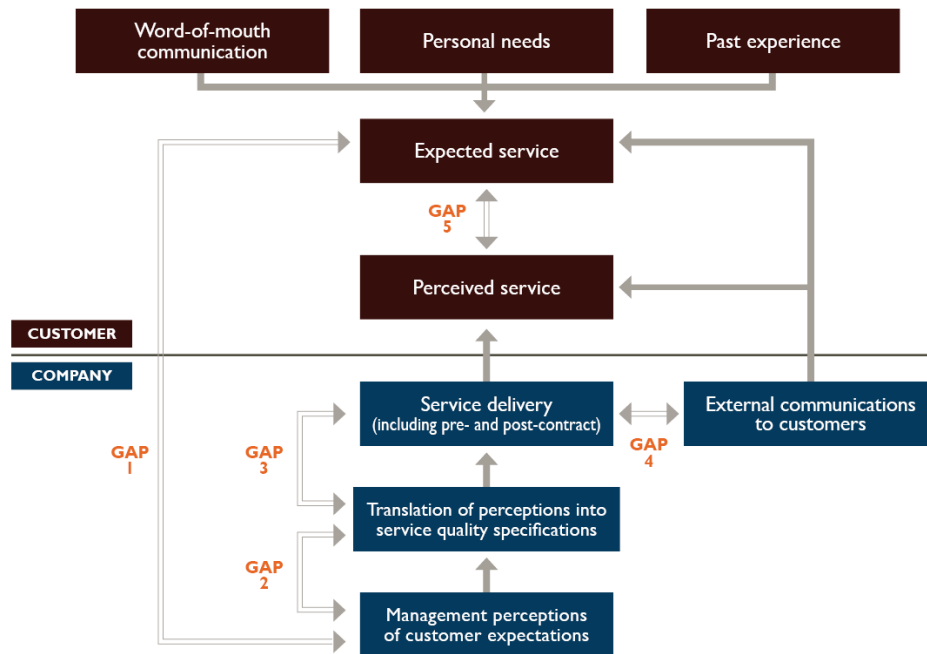
3 SUPPLEMENTAL READING

3.1 Managing Customer Expectations from Services

Services differ from products in many ways. Unlike products, the value delivered through services is intangible. Firms can manage and monitor the quality of their products in factories, but the quality of a service is often determined by front-line employees, which can cause significant variability in customer experience. Finally, while products can be stored and used at a later time, services are often “perishable”—they are usually used in the same moment that they are delivered. These differences require that we use a different lens to study the value delivered to customers in a service context.

Customers’ perceptions of value and satisfaction from a service are generally a function of what they expect from that service in the first place. Customers form these expectations based on their past experience, word of mouth, and advertising. If a company overstates the benefits of its service in an advertisement, it may entice a customer to buy it, but it may also disappoint the customer by raising his or her expectations and not meeting them.

Exhibit 9 illustrates the service-quality model that highlights the gaps between customer expectations and the actual delivery of a service.¹⁴ This model identifies five potential gaps that can result in failure to deliver excellent service.

EXHIBIT 9 Service-Quality Model

Source: Republished with permission from *Journal of Marketing*, from "A Conceptual Model of Service Quality and Its Implications for Future Research," A. Parasuraman, Valarie A. Zeithaml, and Leonard L. Berry, Vol. 49, No. 4 (1985); permission conveyed through Copyright Clearance Center, Inc.

Gap 1: This gap may occur if management's perception of what constitutes excellent service is at odds with customer expectations. It may happen if customers have experienced significantly better service with competitors and expect the same level of service from the target company, or if the components of service that an organization's management perceives to be important (e.g., courteous staff in a restaurant) are not as important to customers as other aspects that the firm may have neglected (e.g., wait time).

Gap 2: This gap is caused when a firm fails to translate its service-quality expectations into tangible results. For example, management may tell its restaurant managers to provide fast service without specifying what *fast* means in terms of actual wait time.

Gap 3: Even if the goal is specified and performance standards are unambiguous, the actual delivery of service may not be consistent with the goal and performance standards. Generally, the biggest gap in most companies is typically a result of poor hiring, training, and incentives for front-line employees.

Gap 4: Sometimes external communication through advertising or public relations is at odds with the actual service quality that a firm delivers. Typically, firms are eager to claim superior service, raising customer expectations that are

later not met and that in turn cause significant disappointment and dissatisfaction.

Gap 5: Customers' perception of service may not coincide with their expectations, and this causes dissatisfaction. For example, a flight attendant may check on a business passenger frequently to ensure that her needs are met, but the traveler may be annoyed by these frequent interruptions.

The researchers who identified these five factors used their findings to develop a 21-item SERVQUAL scale to measure service quality and the potential gaps. This model provides organizations with a root-cause analysis for diagnosing the underlying problems that may be at the heart of poor service delivery.¹⁵

4 KEY TERMS

economic value to the customer (EVC) The maximum price customers will pay for a new product that is equal to the savings from using the new product plus the purchase price of the currently used product.

increasing return to scale When a firm increases its resources by a certain proportion (say, 5%) and output increases by a greater proportion (e.g., more than 5%).

life cycle cost The cost of owning the product over its entire useful life. Life cycle cost generally includes the initial purchase price of a product and its setup cost, operational cost, maintenance cost, and disposal cost. Also known as *total cost of ownership*.

total cost of ownership See life cycle cost.

5 FOR FURTHER READING

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